QUARTERLY INVESTOR REPORT

Falcon Lodge | Memphis, TN

Investment	Falcon Lodge
Quarter	2Q 2019
Report Date	April 29, 2018
Sponsor	Granite Lane Realty
Occupancy	90.5%

Investor Distributions

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 4.9% with an equity multiple of 1.7x over the hold period. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 31 meeting rooms. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Trailing twelve-month occupancy was 97.0% with an average daily rate of $202 and RevPAR indexing above the competitive set. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 23 hours. Collections for the period were 88.0% of billed charges, with bad debt of 6.7% of gross potential income. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 23 meeting rooms. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. Revenue is driven by transient corporate demand, group business and weekend leisure travel. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members.

Service requests are tracked through a work-order system with an average completion time of 16 hours. Collections for the period were 96.3% of billed charges, with bad debt of 5.6% of gross potential income. Trailing twelve-month occupancy was 95.9% with an average daily rate of $202 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Investment Overview

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 6.8% on contributed capital. Projected levered IRR is 9.2% with an equity multiple of 1.21x over the hold period. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 3 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 90.5% with an average daily rate of $202 and RevPAR indexing above the competitive set.

Distributions to investors for the quarter were paid at an annualized rate of 4.8% on contributed capital. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 10 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Management Commentary

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Investment Overview

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 29 meeting rooms. Trailing twelve-month occupancy was 89.3% with an average daily rate of $202 and RevPAR indexing above the competitive set. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 6.9% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 16 meeting rooms.

Property Operations

Collections for the period were 92.6% of billed charges, with bad debt of 5.8% of gross potential income. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 91.5% with an average daily rate of $202 and RevPAR indexing above the competitive set.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 33 meeting rooms.

Business Plan Progress

Trailing twelve-month occupancy was 93.3% with an average daily rate of $202 and RevPAR indexing above the competitive set. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Projected levered IRR is 9.4% with an equity multiple of 1.16x over the hold period. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 26 meeting rooms.

The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 3.3% on contributed capital.

Property Operations

Trailing twelve-month occupancy was 94.6% with an average daily rate of $202 and RevPAR indexing above the competitive set. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 41 meeting rooms.

Service requests are tracked through a work-order system with an average completion time of 32 hours. Collections for the period were 92.3% of billed charges, with bad debt of 6.4% of gross potential income. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 20 meeting rooms. Trailing twelve-month occupancy was 96.2% with an average daily rate of $202 and RevPAR indexing above the competitive set.

Investment Overview

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Lobby renovation	Energy	12/02/24	Q1 2027	$555,000	$121,024	Approved
Water heater replacement	Building	11/12/26	Q4 2026	$12,000	$5,780	Deferred
Unit interior upgrades	Energy	09/05/24	Q2 2026	$88,000	$63,464	Complete
Parking lot resurfacing	Building	03/07/26	Q3 2025	$321,000	$217,737	Bidding
Storefront glazing	Energy	09/28/25	Q2 2025	$899,000	$650,370	Bidding
Elevator modernization	Energy	02/12/23	Q4 2027	$188,000	$33,788	In progress
Door hardware	Building	09/06/25	Q1 2027	$720,000	$196,286	In progress
Fire alarm panel upgrade	Energy	04/30/25	Q1 2026	$330,000	$203,725	Deferred
Fence replacement	Site	02/27/26	Q1 2025	$262,000	$235,141	Bidding
Storefront glazing	Building	01/31/24	Q1 2026	$251,000	$48,769	Complete
Fence replacement	Building	06/24/26	Q1 2026	$468,000	$18,577	Complete
Signage / monument	Building	07/06/23	Q3 2026	$225,000	$104,331	Complete
ADA compliance	Interior	12/09/23	Q4 2027	$627,000	$416,206	Bidding
Sewer line repair	Life Safety	11/02/23	Q1 2027	$481,000	$87,627	Bidding
Door hardware	Energy	01/09/24	Q1 2026	$624,000	$357,704	Approved
Door hardware	Interior	12/20/26	Q2 2026	$127,000	$89,200	Complete
Water heater replacement	Interior	05/12/25	Q2 2025	$624,000	$397,503	In progress
Security camera upgrade	Building	02/14/24	Q1 2027	$791,000	$499,865	Approved
Unit interior upgrades	Site	05/30/26	Q4 2026	$575,000	$206,697	In progress
ADA compliance	Life Safety	03/29/26	Q1 2025	$551,000	$491,366	Complete
Elevator modernization	Building	01/15/23	Q3 2025	$124,000	$120,568	Complete
Door hardware	Interior	09/27/25	Q2 2027	$141,000	$65,307	In progress
ADA compliance	Site	11/04/24	Q3 2025	$792,000	$638,764	Bidding
Security camera upgrade	Site	04/12/26	Q2 2025	$486,000	$129,824	Approved
Roof replacement - Bldg A	Life Safety	05/10/24	Q4 2027	$588,000	$106,059	Approved
LED lighting retrofit	Building	03/07/24	Q4 2027	$80,000	$36,209	In progress
Sewer line repair	Site	12/01/26	Q4 2026	$218,000	$120,316	Bidding
Fire alarm panel upgrade	Site	02/25/23	Q4 2025	$606,000	$177,088	Bidding
Signage / monument	Interior	09/18/26	Q2 2027	$711,000	$699,566	In progress
Signage / monument	Life Safety	06/04/25	Q4 2026	$347,000	$292,995	Complete
Door hardware	Interior	03/01/26	Q3 2025	$20,000	$17,642	Deferred
Security camera upgrade	Interior	07/15/23	Q1 2027	$362,000	$165,025	Approved
Water heater replacement	Site	07/22/23	Q2 2025	$444,000	$184,139	Bidding
Door hardware	Site	02/07/24	Q1 2027	$43,000	$27,497	Deferred
Landscape / irrigation	Site	01/27/23	Q4 2025	$617,000	$7,543	Bidding
HVAC replacement	Interior	11/17/26	Q3 2027	$434,000	$393,859	Bidding
Signage / monument	Life Safety	05/10/26	Q4 2025	$659,000	$679,792	Complete
Water heater replacement	Interior	11/21/24	Q2 2027	$606,000	$554,114	Deferred
Roof replacement - Bldg D	Building	10/15/24	Q3 2027	$596,000	$233,028	Deferred
Storefront glazing	Energy	11/24/23	Q1 2025	$752,000	$83,449	Complete

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Operating Performance

Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 31 meeting rooms. Debt service coverage ratio was 7.56x on a trailing basis against a covenant minimum of 1.20x.

The going-in capitalization rate of 6.12% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.74x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $282,000 or approximately 29.52 per square foot, with real estate taxes representing the largest line item. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Market Overview

Trailing twelve-month occupancy was 92.8% with an average daily rate of $202 and RevPAR indexing above the competitive set. Market vacancy for comparable Hotel product stands at 12.0%, down from 7.5% two years ago. Rent growth in the submarket has averaged 5.8% annually over the past 9 years. The Memphis Hotel market has experienced absorption of 400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Hotel assets in Memphis remains strong with recent trades at capitalization rates between 6.36% and 6.36%.

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 18 meeting rooms. Investor demand for Hotel assets in Memphis remains strong with recent trades at capitalization rates between 7.05% and 7.05%. Rent growth in the submarket has averaged 6.3% annually over the past 12 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 5-mile radius of the property is approximately $45,000 and has grown 12.9% annually.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Debt service coverage ratio was 7.81x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $61,000, representing a 9.2% increase over the prior year. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 94.6% with an average daily rate of $202 and RevPAR indexing above the competitive set.

The going-in capitalization rate of 7.73% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Effective gross income for the trailing period was $211,000, representing a 8.5% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Demographics and Employment

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 4 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Investor demand for Hotel assets in Memphis remains strong with recent trades at capitalization rates between 7.21% and 7.21%. The Memphis Hotel market has experienced absorption of 3600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 7.0% annually over the past 5 years.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. The Memphis Hotel market has experienced absorption of 4800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Trailing twelve-month occupancy was 95.4% with an average daily rate of $202 and RevPAR indexing above the competitive set. Falcon Lodge is located in Memphis, TN, a market that has recorded 13.7% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 19 meeting rooms.

Valuation Discussion

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$293,695	$300,178	$304,975	$11,280	3.8%	$1,445.38
5010 Loss to Lease	$219,303	$213,195	$226,794	$7,491	3.4%	$1,074.85
5020 Vacancy Loss	$281,299	$261,607	$267,579	-$13,721	-4.9%	$1,268.14
5030 Concessions	$116,047	$116,377	$122,158	$6,111	5.3%	$578.95
5040 Bad Debt	$44,368	$45,789	$46,084	$1,716	3.9%	$218.41
5050 Late Fees	$43,451	$44,130	$46,989	$3,537	8.1%	$222.70
5060 Utility Reimbursements	$136,888	$144,938	$149,838	$12,950	9.5%	$710.13
5070 Parking Income	$332,959	$340,961	$348,077	$15,118	4.5%	$1,649.65
5080 Application Fees	$37,087	$34,603	$34,774	-$2,313	-6.2%	$164.81
5090 Pet Rent	$276,559	$280,476	$293,570	$17,011	6.2%	$1,391.33
5100 Laundry Income	$216,374	$217,418	$229,704	$13,330	6.2%	$1,088.64
5110 Cable/Internet Revenue	$241,408	$238,705	$252,181	$10,773	4.5%	$1,195.17
5120 CAM Reimbursements	$129,826	$139,138	$140,044	$10,217	7.9%	$663.71
5130 Tax Reimbursements	$269,737	$270,715	$277,145	$7,408	2.7%	$1,313.48
5140 Insurance Reimbursements	$86,134	$87,989	$91,587	$5,453	6.3%	$434.06
5150 Percentage Rent	$279,874	$261,302	$276,842	-$3,032	-1.1%	$1,312.05
5160 Misc. Income	$55,594	$51,741	$51,868	-$3,726	-6.7%	$245.82
5170 Payroll - Management	$18,204	$19,519	$20,582	$2,378	13.1%	$97.54
5180 Payroll - Leasing	$300,392	$304,975	$308,810	$8,417	2.8%	$1,463.55
5190 Payroll - Maintenance	$270,186	$268,534	$279,620	$9,434	3.5%	$1,325.21
5200 Payroll Taxes & Benefits	$79,061	$83,900	$85,761	$6,700	8.5%	$406.45
5210 Repairs - Plumbing	$256,471	$253,252	$260,426	$3,955	1.5%	$1,234.25
5220 Repairs - HVAC	$135,032	$145,735	$154,756	$19,724	14.6%	$733.44
5230 Repairs - Electrical	$295,876	$284,252	$301,945	$6,068	2.1%	$1,431.02
5240 Repairs - Appliances	$292,273	$299,226	$306,149	$13,877	4.7%	$1,450.95
5250 Painting & Decorating	$38,492	$40,221	$41,852	$3,360	8.7%	$198.35
5260 Flooring	$302,395	$295,855	$301,844	-$551	-0.2%	$1,430.54
5270 Make-Ready / Turnover	$189,512	$199,689	$208,370	$18,859	10.0%	$987.54
5280 Landscaping Contract	$24,709	$26,303	$27,454	$2,745	11.1%	$130.11
5290 Snow Removal	$342,760	$315,579	$329,605	-$13,156	-3.8%	$1,562.11
5300 Janitorial	$108,435	$116,537	$117,352	$8,918	8.2%	$556.17
5310 Pest Control	$115,247	$111,574	$118,242	$2,995	2.6%	$560.39
5320 Trash Removal	$192,586	$202,842	$207,655	$15,069	7.8%	$984.14
5330 Elevator Contract	$303,565	$293,448	$308,043	$4,478	1.5%	$1,459.92
5340 Fire & Life Safety	$38,741	$36,282	$37,984	-$757	-2.0%	$180.02
5350 Security	$324,887	$300,418	$310,266	-$14,621	-4.5%	$1,470.45
5360 Electricity - Common	$198,840	$186,107	$191,509	-$7,331	-3.7%	$907.63
5370 Gas - Common	$317,165	$316,067	$335,280	$18,115	5.7%	$1,589.00
5380 Water & Sewer	$177,597	$186,397	$186,441	$8,844	5.0%	$883.61
5390 Telephone/Internet	$93,888	$86,459	$92,255	-$1,633	-1.7%	$437.23

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Investor Distributions

Projected levered IRR is 2.1% with an equity multiple of 1.20x over the hold period. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 47 meeting rooms. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.1% on contributed capital.

Distributions to investors for the quarter were paid at an annualized rate of 5.7% on contributed capital. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Projected levered IRR is 13.0% with an equity multiple of 1.38x over the hold period. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 31 meeting rooms.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 8 hours. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Trailing twelve-month occupancy was 93.8% with an average daily rate of $202 and RevPAR indexing above the competitive set. Collections for the period were 88.4% of billed charges, with bad debt of 7.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 31 meeting rooms. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Trailing twelve-month occupancy was 91.1% with an average daily rate of $202 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Investor Distributions

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Trailing twelve-month occupancy was 89.7% with an average daily rate of $202 and RevPAR indexing above the competitive set. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 40 meeting rooms.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Projected levered IRR is 4.1% with an equity multiple of 1.12x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 3.7% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 89.0% of billed charges, with bad debt of 5.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.8% of billed charges, with bad debt of 7.7% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 3 hours. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 41 meeting rooms.

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Trailing twelve-month occupancy was 94.1% with an average daily rate of $202 and RevPAR indexing above the competitive set. Projected levered IRR is 13.2% with an equity multiple of 1.15x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 7.8% on contributed capital.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
HVAC replacement	Life Safety	12/29/25	Q3 2025	$585,000	$495,690	Complete
ADA compliance	Life Safety	08/08/26	Q3 2026	$718,000	$232,376	Bidding
Fire alarm panel upgrade	Life Safety	06/11/26	Q4 2027	$54,000	$25,730	Complete
ADA compliance	Building	09/13/25	Q3 2026	$126,000	$101,511	Bidding
Parking lot resurfacing	Life Safety	05/25/26	Q3 2027	$33,000	$13,050	Approved
Water heater replacement	Site	11/11/24	Q3 2026	$226,000	$197,522	In progress
Door hardware	Life Safety	12/02/25	Q1 2025	$684,000	$654,104	Approved
Exterior paint	Energy	06/17/23	Q1 2025	$509,000	$101,457	In progress
Water heater replacement	Life Safety	07/09/25	Q2 2027	$674,000	$299,125	Deferred
HVAC replacement	Life Safety	10/24/26	Q4 2026	$321,000	$255,909	Bidding
Sewer line repair	Energy	08/23/25	Q2 2026	$247,000	$44,625	Approved
Parking lot resurfacing	Energy	05/30/26	Q4 2025	$321,000	$15,823	Deferred
Lobby renovation	Energy	09/21/26	Q3 2026	$679,000	$31,760	Complete
Lobby renovation	Site	10/27/26	Q1 2027	$661,000	$313,675	Approved
Lobby renovation	Site	05/19/23	Q3 2025	$13,000	$651	Bidding
Lobby renovation	Energy	01/30/24	Q3 2025	$780,000	$345,050	Deferred
HVAC replacement	Life Safety	11/09/25	Q4 2025	$675,000	$571,953	Approved
Fence replacement	Building	07/20/24	Q1 2025	$89,000	$83,910	Complete
HVAC replacement	Building	09/12/24	Q2 2027	$570,000	$591,654	Approved
Lobby renovation	Energy	04/16/25	Q3 2025	$722,000	$36,091	In progress
Sewer line repair	Interior	12/10/24	Q3 2025	$627,000	$388,262	Deferred
Lobby renovation	Energy	12/09/23	Q1 2027	$890,000	$243,619	Approved
Water heater replacement	Energy	05/09/25	Q2 2026	$894,000	$697,823	Bidding
Landscape / irrigation	Site	11/27/24	Q3 2026	$225,000	$202,429	In progress
Elevator modernization	Building	08/18/26	Q3 2026	$381,000	$82,546	Approved
Door hardware	Life Safety	01/23/26	Q1 2027	$678,000	$421,315	Bidding
LED lighting retrofit	Life Safety	02/09/23	Q1 2026	$364,000	$349,263	In progress
Lobby renovation	Site	02/11/23	Q3 2026	$64,000	$38,135	Approved
Roof replacement - Bldg A	Interior	02/13/25	Q4 2027	$380,000	$50,345	Deferred
Pool resurfacing	Interior	10/30/23	Q4 2026	$864,000	$51,507	Complete
Roof replacement - Bldg C	Energy	01/04/23	Q4 2026	$197,000	$56,383	Approved
Elevator modernization	Site	10/20/23	Q2 2027	$69,000	$41,861	In progress
Water heater replacement	Energy	06/13/25	Q4 2025	$555,000	$198,946	In progress
HVAC replacement	Site	02/22/24	Q1 2027	$628,000	$638,135	Deferred
Fence replacement	Life Safety	09/05/25	Q1 2026	$555,000	$154,973	In progress
Door hardware	Life Safety	03/26/26	Q3 2026	$353,000	$324,039	Approved
Parking lot resurfacing	Interior	08/04/26	Q1 2026	$75,000	$64,133	Complete
LED lighting retrofit	Building	09/26/25	Q1 2026	$424,000	$224,979	Deferred
Lobby renovation	Energy	01/09/24	Q2 2027	$400,000	$135,580	In progress
Storefront glazing	Building	08/23/25	Q1 2025	$789,000	$422,052	Approved
Door hardware	Site	09/04/24	Q2 2026	$606,000	$545,792	Approved
Water heater replacement	Building	10/29/23	Q4 2026	$324,000	$31,687	Deferred
Roof replacement - Bldg C	Site	03/25/25	Q2 2025	$812,000	$379,517	Approved

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Income and Expense Review

Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. Trailing twelve-month occupancy was 91.4% with an average daily rate of $202 and RevPAR indexing above the competitive set. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 21 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 39 meeting rooms. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.11% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period.

Market Overview

Rent growth in the submarket has averaged 5.8% annually over the past 6 years. Falcon Lodge is located in Memphis, TN, a market that has recorded 3.2% population growth over the last five years. Median household income within a 9-mile radius of the property is approximately $294,000 and has grown 3.3% annually. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Employment growth is led by healthcare, logistics, education and professional services sectors. The Memphis Hotel market has experienced absorption of 600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 23 meeting rooms. Investor demand for Hotel assets in Memphis remains strong with recent trades at capitalization rates between 6.92% and 6.92%.

Income and Expense Review

Debt service coverage ratio was 6.89x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $44,000, representing a 2.2% increase over the prior year. Operating expenses totaled $371,000 or approximately 41.54 per square foot, with real estate taxes representing the largest line item.

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 15 meeting rooms. Operating expenses totaled $138,000 or approximately 20.66 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.93x on a trailing basis against a covenant minimum of 1.20x.

Submarket Analysis

Falcon Lodge is located in Memphis, TN, a market that has recorded 5.6% population growth over the last five years. Trailing twelve-month occupancy was 92.9% with an average daily rate of $202 and RevPAR indexing above the competitive set. Rent growth in the submarket has averaged 7.6% annually over the past 8 years. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Falcon Lodge is located in Memphis, TN, a market that has recorded 2.5% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. Trailing twelve-month occupancy was 91.6% with an average daily rate of $202 and RevPAR indexing above the competitive set. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Market vacancy for comparable Hotel product stands at 12.3%, down from 4.6% two years ago.

Income and Expense Review

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Debt service coverage ratio was 5.90x on a trailing basis against a covenant minimum of 1.20x. Trailing twelve-month occupancy was 91.9% with an average daily rate of $202 and RevPAR indexing above the competitive set. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 92.6% with an average daily rate of $202 and RevPAR indexing above the competitive set. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 45 meeting rooms. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Submarket Analysis

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$41,429	$41,159	$42,980	$1,551	3.7%	$203.70
5420 Office Supplies	$18,114	$17,735	$18,508	$394	2.2%	$87.72
5430 Legal & Professional	$112,878	$117,788	$118,138	$5,260	4.7%	$559.90
5440 Accounting & Audit	$157,029	$153,373	$161,009	$3,981	2.5%	$763.08
5450 Licenses & Permits	$94,498	$98,229	$100,909	$6,411	6.8%	$478.24
5460 Management Fee	$101,471	$109,553	$113,841	$12,370	12.2%	$539.53
5470 Property Insurance	$247,386	$245,942	$260,942	$13,556	5.5%	$1,236.69
5480 Real Estate Taxes	$210,920	$195,298	$206,736	-$4,183	-2.0%	$979.79
5490 Asset Management Fee	$216,543	$232,281	$239,079	$22,536	10.4%	$1,133.08
5500 Replacement Reserves	$246,030	$244,286	$256,232	$10,202	4.1%	$1,214.37
5510 Roof Repairs	$343,835	$358,646	$377,205	$33,370	9.7%	$1,787.70
5520 Parking Lot Repairs	$80,854	$82,484	$84,751	$3,898	4.8%	$401.67
5530 Signage	$183,825	$187,952	$191,670	$7,844	4.3%	$908.39
5540 Tenant Improvements	$41,400	$41,550	$41,823	$423	1.0%	$198.22
5550 Leasing Commissions	$276,899	$289,723	$291,849	$14,949	5.4%	$1,383.17
5000 Gross Potential Rent	$274,091	$292,915	$297,959	$23,867	8.7%	$1,412.13
5010 Loss to Lease	$198,629	$197,215	$205,670	$7,041	3.5%	$974.74
5020 Vacancy Loss	$207,821	$212,841	$225,454	$17,633	8.5%	$1,068.50
5030 Concessions	$126,559	$126,951	$134,328	$7,770	6.1%	$636.63
5040 Bad Debt	$42,653	$41,370	$41,687	-$965	-2.3%	$197.57
5050 Late Fees	$20,515	$20,312	$20,665	$150	0.7%	$97.94
5060 Utility Reimbursements	$201,581	$185,844	$193,266	-$8,314	-4.1%	$915.95
5070 Parking Income	$270,698	$274,242	$276,432	$5,734	2.1%	$1,310.10
5080 Application Fees	$242,562	$227,510	$233,129	-$9,433	-3.9%	$1,104.88
5090 Pet Rent	$90,256	$84,803	$89,006	-$1,249	-1.4%	$421.83
5100 Laundry Income	$187,576	$173,015	$176,945	-$10,631	-5.7%	$838.60
5110 Cable/Internet Revenue	$262,408	$282,322	$296,723	$34,316	13.1%	$1,406.27
5120 CAM Reimbursements	$218,258	$222,852	$229,188	$10,930	5.0%	$1,086.20
5130 Tax Reimbursements	$107,534	$113,471	$118,919	$11,385	10.6%	$563.60
5140 Insurance Reimbursements	$77,370	$74,625	$76,893	-$477	-0.6%	$364.42
5150 Percentage Rent	$52,443	$53,071	$53,811	$1,368	2.6%	$255.03
5160 Misc. Income	$249,273	$253,143	$264,158	$14,885	6.0%	$1,251.93
5170 Payroll - Management	$22,889	$24,306	$24,762	$1,873	8.2%	$117.35
5180 Payroll - Leasing	$91,939	$86,418	$89,202	-$2,737	-3.0%	$422.76
5190 Payroll - Maintenance	$259,761	$243,616	$257,906	-$1,855	-0.7%	$1,222.30
5200 Payroll Taxes & Benefits	$230,696	$243,098	$248,361	$17,665	7.7%	$1,177.07
5210 Repairs - Plumbing	$223,655	$238,941	$250,347	$26,692	11.9%	$1,186.48
5220 Repairs - HVAC	$105,207	$110,581	$112,898	$7,692	7.3%	$535.06
5230 Repairs - Electrical	$322,625	$345,242	$352,359	$29,734	9.2%	$1,669.95
5240 Repairs - Appliances	$59,428	$59,103	$60,362	$934	1.6%	$286.08
5250 Painting & Decorating	$232,269	$215,009	$218,118	-$14,151	-6.1%	$1,033.73

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Investor Distributions

Trailing twelve-month occupancy was 93.4% with an average daily rate of $202 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 17 meeting rooms. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 7.2% on contributed capital. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 24 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 11.0% with an equity multiple of 1.19x over the hold period.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 89.6% of billed charges, with bad debt of 5.5% of gross potential income. Trailing twelve-month occupancy was 91.2% with an average daily rate of $202 and RevPAR indexing above the competitive set. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 26 meeting rooms. The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Service requests are tracked through a work-order system with an average completion time of 28 hours. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 24 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Trailing twelve-month occupancy was 91.1% with an average daily rate of $202 and RevPAR indexing above the competitive set. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 2 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 33 hours. Trailing twelve-month occupancy was 96.5% with an average daily rate of $202 and RevPAR indexing above the competitive set. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 20 meeting rooms.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 5 meeting rooms. Collections for the period were 89.9% of billed charges, with bad debt of 4.4% of gross potential income.

Risk Considerations

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 10 meeting rooms.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Parking lot resurfacing	Life Safety	05/20/24	Q2 2026	$698,000	$199,760	Deferred
Elevator modernization	Site	10/27/23	Q1 2027	$200,000	$181,465	Bidding
Landscape / irrigation	Building	10/12/25	Q2 2025	$511,000	$233,976	Bidding
Landscape / irrigation	Site	04/07/26	Q1 2025	$841,000	$3,292	Deferred
Exterior paint	Building	02/23/23	Q4 2025	$133,000	$89,195	Approved
Signage / monument	Interior	03/06/24	Q1 2025	$724,000	$652,988	In progress
LED lighting retrofit	Energy	07/23/25	Q3 2025	$559,000	$73,907	Deferred
Storefront glazing	Site	03/06/26	Q2 2027	$408,000	$364,863	Complete
Parking lot resurfacing	Site	02/09/26	Q4 2027	$28,000	$16,043	Deferred
Unit interior upgrades	Building	09/26/23	Q3 2027	$207,000	$102,404	Deferred
Door hardware	Energy	12/28/25	Q4 2025	$447,000	$279,702	Complete
Water heater replacement	Energy	05/04/24	Q1 2027	$527,000	$177,716	Deferred
Parking lot resurfacing	Interior	05/03/23	Q4 2027	$172,000	$78,901	Approved
Lobby renovation	Life Safety	06/14/24	Q2 2026	$98,000	$101,050	Deferred
Landscape / irrigation	Interior	09/29/25	Q1 2025	$85,000	$38,368	Bidding
Sewer line repair	Interior	10/03/24	Q3 2026	$674,000	$579,628	In progress
Parking lot resurfacing	Energy	05/12/24	Q2 2026	$827,000	$636,309	Approved
Amenity renovation	Life Safety	05/14/23	Q2 2027	$96,000	$58,107	Approved
Pool resurfacing	Building	06/02/25	Q1 2025	$785,000	$290,407	In progress
Door hardware	Energy	07/09/26	Q1 2027	$86,000	$52,845	Deferred
Water heater replacement	Interior	02/15/23	Q1 2026	$344,000	$223,585	Deferred
HVAC replacement	Life Safety	01/08/26	Q3 2026	$746,000	$98,860	Deferred
Door hardware	Site	11/01/24	Q1 2026	$222,000	$187,489	Bidding
Elevator modernization	Life Safety	01/08/23	Q1 2026	$130,000	$68,954	Complete
Signage / monument	Site	03/05/26	Q3 2026	$664,000	$598,974	Complete
Lobby renovation	Interior	07/26/26	Q4 2027	$563,000	$194,508	Complete
Parking lot resurfacing	Energy	02/12/23	Q3 2025	$44,000	$1,417	Complete
Elevator modernization	Life Safety	08/31/25	Q2 2026	$480,000	$485,392	Bidding
Door hardware	Life Safety	05/11/23	Q4 2027	$166,000	$41,697	Complete
Door hardware	Building	02/24/23	Q1 2026	$14,000	$6,093	Complete
HVAC replacement	Site	09/12/23	Q3 2026	$817,000	$710,010	Complete
Landscape / irrigation	Interior	01/07/26	Q1 2026	$799,000	$815,328	Deferred
HVAC replacement	Energy	08/28/23	Q4 2027	$767,000	$773,361	Bidding
Lobby renovation	Life Safety	06/26/26	Q3 2027	$514,000	$187,418	Deferred
Unit interior upgrades	Life Safety	08/05/26	Q4 2026	$106,000	$33,624	Bidding
HVAC replacement	Building	01/27/24	Q1 2025	$345,000	$2,186	Complete
HVAC replacement	Interior	07/01/23	Q2 2026	$641,000	$518,593	Deferred
Fire alarm panel upgrade	Building	02/28/26	Q3 2025	$604,000	$492,620	Approved
Fire alarm panel upgrade	Interior	04/19/25	Q2 2026	$808,000	$698,882	Approved
Storefront glazing	Life Safety	11/07/25	Q4 2027	$757,000	$298,355	Bidding

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Valuation Discussion

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $296,000 or approximately 41.46 per square foot, with real estate taxes representing the largest line item. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 29 meeting rooms. Trailing twelve-month occupancy was 93.2% with an average daily rate of $202 and RevPAR indexing above the competitive set. Effective gross income for the trailing period was $426,000, representing a 2.0% increase over the prior year.

Effective gross income for the trailing period was $336,000, representing a 8.2% increase over the prior year. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 25 meeting rooms. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses.

Demographics and Employment

Investor demand for Hotel assets in Memphis remains strong with recent trades at capitalization rates between 7.42% and 7.42%. Falcon Lodge is located in Memphis, TN, a market that has recorded 12.3% population growth over the last five years. Trailing twelve-month occupancy was 96.6% with an average daily rate of $202 and RevPAR indexing above the competitive set. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 10 meeting rooms. Employment growth is led by healthcare, logistics, education and professional services sectors. The Memphis Hotel market has experienced absorption of 1800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Median household income within a 1-mile radius of the property is approximately $432,000 and has grown 8.5% annually. Market vacancy for comparable Hotel product stands at 11.4%, down from 4.1% two years ago. The Memphis Hotel market has experienced absorption of 3000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 5.7% annually over the past 12 years.

Valuation Discussion

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Operating expenses totaled $124,000 or approximately 9.94 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $460,000, representing a 3.9% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period.

Operating expenses totaled $197,000 or approximately 20.80 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Debt service coverage ratio was 7.51x on a trailing basis against a covenant minimum of 1.20x. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 32 meeting rooms.

Submarket Analysis

Rent growth in the submarket has averaged 6.6% annually over the past 5 years. Trailing twelve-month occupancy was 88.9% with an average daily rate of $202 and RevPAR indexing above the competitive set. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The Memphis Hotel market has experienced absorption of 2600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 34 meeting rooms. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Falcon Lodge is located in Memphis, TN, a market that has recorded 13.5% population growth over the last five years. Rent growth in the submarket has averaged 4.9% annually over the past 4 years. Median household income within a 8-mile radius of the property is approximately $110,000 and has grown 10.3% annually. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Investor demand for Hotel assets in Memphis remains strong with recent trades at capitalization rates between 5.35% and 5.35%.

Operating Performance

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5260 Flooring	$312,076	$336,089	$356,942	$44,865	14.4%	$1,691.67
5270 Make-Ready / Turnover	$259,921	$272,123	$285,522	$25,601	9.8%	$1,353.19
5280 Landscaping Contract	$168,093	$170,229	$178,459	$10,366	6.2%	$845.78
5290 Snow Removal	$53,197	$49,457	$51,777	-$1,420	-2.7%	$245.39
5300 Janitorial	$168,415	$177,842	$179,711	$11,297	6.7%	$851.71
5310 Pest Control	$28,394	$26,417	$27,341	-$1,053	-3.7%	$129.58
5320 Trash Removal	$333,054	$356,233	$364,689	$31,635	9.5%	$1,728.38
5330 Elevator Contract	$37,465	$35,613	$36,501	-$964	-2.6%	$172.99
5340 Fire & Life Safety	$258,138	$275,994	$290,692	$32,554	12.6%	$1,377.69
5350 Security	$337,882	$311,322	$329,144	-$8,738	-2.6%	$1,559.93
5360 Electricity - Common	$75,891	$79,833	$81,407	$5,516	7.3%	$385.82
5370 Gas - Common	$293,905	$304,857	$324,344	$30,439	10.4%	$1,537.17
5380 Water & Sewer	$138,865	$145,244	$151,131	$12,266	8.8%	$716.26
5390 Telephone/Internet	$221,068	$206,152	$206,408	-$14,660	-6.6%	$978.24
5400 Advertising	$107,667	$108,235	$111,985	$4,318	4.0%	$530.73
5410 Resident Events	$45,992	$45,504	$47,018	$1,027	2.2%	$222.84
5420 Office Supplies	$115,925	$110,586	$112,402	-$3,523	-3.0%	$532.71
5430 Legal & Professional	$284,740	$286,474	$289,747	$5,007	1.8%	$1,373.21
5440 Accounting & Audit	$115,161	$119,474	$126,158	$10,997	9.5%	$597.91
5450 Licenses & Permits	$34,847	$32,913	$34,973	$126	0.4%	$165.75
5460 Management Fee	$93,097	$94,919	$100,811	$7,713	8.3%	$477.78
5470 Property Insurance	$145,717	$150,685	$156,905	$11,188	7.7%	$743.63
5480 Real Estate Taxes	$242,104	$232,459	$242,038	-$66	-0.0%	$1,147.10
5490 Asset Management Fee	$337,422	$345,768	$355,100	$17,677	5.2%	$1,682.94
5500 Replacement Reserves	$22,618	$24,065	$25,099	$2,481	11.0%	$118.95
5510 Roof Repairs	$252,910	$267,875	$273,791	$20,881	8.3%	$1,297.59
5520 Parking Lot Repairs	$15,680	$15,259	$15,305	-$375	-2.4%	$72.54
5530 Signage	$198,594	$213,840	$217,519	$18,925	9.5%	$1,030.90
5540 Tenant Improvements	$37,868	$39,251	$39,409	$1,541	4.1%	$186.77
5550 Leasing Commissions	$65,407	$69,279	$73,799	$8,391	12.8%	$349.76
5000 Gross Potential Rent	$77,738	$79,103	$79,803	$2,065	2.7%	$378.22
5010 Loss to Lease	$221,187	$217,828	$232,583	$11,397	5.2%	$1,102.29
5020 Vacancy Loss	$42,595	$44,502	$46,550	$3,955	9.3%	$220.62
5030 Concessions	$195,200	$208,963	$213,131	$17,932	9.2%	$1,010.10
5040 Bad Debt	$308,766	$296,329	$304,599	-$4,168	-1.3%	$1,443.59
5050 Late Fees	$95,030	$100,572	$105,230	$10,200	10.7%	$498.72
5060 Utility Reimbursements	$266,574	$286,600	$297,969	$31,396	11.8%	$1,412.18
5070 Parking Income	$27,948	$26,119	$27,568	-$380	-1.4%	$130.66
5080 Application Fees	$116,330	$112,158	$119,515	$3,185	2.7%	$566.42
5090 Pet Rent	$301,388	$294,184	$298,609	-$2,779	-0.9%	$1,415.21
5100 Laundry Income	$111,233	$112,658	$115,622	$4,389	3.9%	$547.97

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Risk Considerations

Projected levered IRR is 2.4% with an equity multiple of 1.48x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Trailing twelve-month occupancy was 96.5% with an average daily rate of $202 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Distributions to investors for the quarter were paid at an annualized rate of 6.3% on contributed capital.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Trailing twelve-month occupancy was 93.2% with an average daily rate of $202 and RevPAR indexing above the competitive set. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 25 meeting rooms.

Management Commentary

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 11 meeting rooms. The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day.

Collections for the period were 90.5% of billed charges, with bad debt of 6.4% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Trailing twelve-month occupancy was 92.2% with an average daily rate of $202 and RevPAR indexing above the competitive set. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. Service requests are tracked through a work-order system with an average completion time of 22 hours.

Business Plan Progress

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 42 meeting rooms. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Trailing twelve-month occupancy was 88.1% with an average daily rate of $202 and RevPAR indexing above the competitive set. Projected levered IRR is 10.5% with an equity multiple of 1.44x over the hold period. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.5% on contributed capital. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 41 meeting rooms.

Management Commentary

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 95.0% with an average daily rate of $202 and RevPAR indexing above the competitive set. The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members.

Service requests are tracked through a work-order system with an average completion time of 40 hours. Revenue is driven by transient corporate demand, group business and weekend leisure travel. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Collections for the period were 93.0% of billed charges, with bad debt of 6.2% of gross potential income.

Risk Considerations

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 5.5% with an equity multiple of 1.14x over the hold period. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 90.4% with an average daily rate of $202 and RevPAR indexing above the competitive set.

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Disclaimer and Confidentiality

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Time is of the essence with respect to each and every provision of this instrument. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Falcon Lodge and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Falcon Lodge and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Time is of the essence with respect to each and every provision of this instrument. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Falcon Lodge and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of TN. Time is of the essence with respect to each and every provision of this instrument. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Falcon Lodge and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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